

THE FORENSIC HUNT

Finspire 2.0

Participant Case Pack

AlphaNova Technologies Ltd.

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1. Brief

You are part of a sell-side forensic team supporting a lead manager that is considering AlphaNova Technologies Ltd. for an IPO in FY26. Two years of summarized financials show an unusual step-change in profitability. Your team has received a limited data pack (financial statements, selected notes, internal emails, and excerpts from management communication). Your task is to identify whether the performance is real, or the result of accounting manipulation or fraud, and present your findings to an investor committee.

2. What You Must Deliver

- A pitch deck (2-3 slides) explaining the suspected manipulations, quantifying the impact, and identifying the most likely perpetrator(s) and mechanism.
- A one-page investor memo summarizing the thesis, key evidence, and your recommendation (Proceed / Proceed with conditions / Do not proceed).
- A working file (Excel or Google Sheet export) showing calculations and reconciliations.

3. Rules and Constraints

- Use only the information provided in this case pack. Do not assume additional facts.
- Every claim must cite an exhibit reference (Exhibit A, B, etc.).
- Where you estimate an amount, show the logic and range, not a single unsupported number.
- Evaluation focuses on rigor, clarity, and plausibility - not on slide aesthetics.

4. Evaluation Rubric

Criteria	Weight	What Good Looks Like
Detection	30%	Finds the right red flags and links them to evidence.
Quantification	25%	Builds a clean bridge from reported to normalized earnings and balance sheet.
Narrative & Causality	20%	Explains the mechanism and why it was done (IPO incentives, covenants, bonuses).
Perpetrator Logic	15%	Identifies the likely actor(s) and how control points were bypassed.
Investor Lens	10%	Clear recommendation and what an analyst would track next.

5. Company Snapshot

Business: Manufacturing and trading of specialized industrial components used in renewable energy, electronics, and industrial automation.

- Footprint: 2 manufacturing facilities and a trading desk that sources from domestic and overseas suppliers.
- Customers: Mix of OEMs, EPC contractors, and distributors. Management claims a shift toward larger enterprise customers in FY25.
- IPO intent: Targeting FY26 to fund capacity expansion and improve brand credibility with global customers.

Key Managerial personnel

Role	Name	Notes
CEO	Arjun	Public face for IPO; drives external narrative and performance targets.
Group Financial Controller	Suresh	Owens year-end close, provisioning, and financial presentation.
Head - Sales Ops	Confidential	Coordinates dispatch, invoicing, and quarter-end closure.
Treasury Lead	Confidential	Manages borrowings, supplier financing, and liquidity actions.

Control Environment (management description)

- Monthly close with quarter-end 'true-up' entries.
- Revenue recognition relies on ERP dispatch status and 3PL confirmations for certain enterprise programs.
- Inventory provisions reviewed at year-end based on ageing buckets and product strategy inputs.
- Investment valuations prepared internally using management assumptions; reviewed by finance.

6. Data

Use the following exhibits. Unless explicitly stated, all numbers are in INR crores.

Exhibit A: Summarized Financial Statements (FY24-FY25)

Statement of Profit & Loss	FY24	FY25
Revenue from Operations	520	890
Other Income	18	145
Total Income	538	1035
Cost of Goods Sold	-360	-495
Gross Profit	178	540
Employee Costs	-62	-70
Selling & Admin Expenses	-54	-68
Depreciation	-38	-14
Finance Cost	-22	-20
Profit Before Tax (PBT)	2	368
Tax Expense	-1	-48
Profit After Tax (PAT)	1	320

Liabilities	FY24	FY25
Equity Share Capital	100	100
Reserves & Surplus	290	610
Long-term Borrowings	240	360
Short-term Borrowings	120	25
Trade Payables	80	12
Other Current Liabilities	120	5
Total Liabilities	950	1112

Assets	FY24	FY25
Property, Plant & Equipment	420	210
Capital Work in Progress	30	12
Intangible Assets	55	52
Investments (Unquoted)	18	160
Inventory	210	98
Trade Receivables	140	390
Cash & Bank Balances	32	105
Loans & Advances	45	85
Total Assets	950	1112

Based on Exhibit A alone, list the 5-10 anomalies you would flag before reading any other exhibit.

Exhibit B: Selected Notes and Accounting Policies

Revenue recognition (extract): Revenue is recognized when control of goods passes to the customer as per agreed delivery terms. For certain enterprise customers, goods may be stored at third-party logistics (3PL) locations.

- Returns and price protection (extract): The company may provide price protection and return options in specific customer programs; these are assessed for materiality and recorded as reductions to revenue when probable.
- Other income (FY25) includes: fair value changes on investments; profit on sale of assets; and interest income on surplus funds.
- Investments are unquoted equity instruments measured using valuation techniques. Significant judgement is involved in inputs and assumptions.
- Borrowings include working capital limits and term loans. Certain supplier arrangements involve third-party financiers.

Exhibit C: Quarterly Revenue Pattern (FY25)

Quarter (FY25)	Revenue from Operations	% of FY25 Revenue	Notes (management)
Q1	170	19%	Ramp-up of new enterprise accounts.
Q2	190	21%	Seasonal demand, normalization.
Q3	210	24%	New product launches.
Q4	320	36%	Large deliveries executed; strong closing run-rate.

Exhibit D: Trade Receivables - Ageing and Top Customers (31 Mar FY25)

Customer	Amount	Ageing bucket	Terms (days)	Remarks
Zenith Renewables EPC Pvt Ltd	110	0-30	120	First year as customer; multiple invoices dated 25-31 Mar.
Kairo Electronics Manufacturing	85	0-30	150	Purchase orders mention 'bill-and-hold at 3PL'.
NovaRetail Distribution LLP	70	31-60	180	Distributor appointed in Feb; return option clause in program note.
Others (top 10 combined)	85	Mixed	60-120	Concentrated in March billings.
Long tail (remaining)	40	Mixed	30-90	Normal retail accounts.

Total Trade Receivables	390	-	-	-
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Additional extract: Collections received from the top 3 customers in Apr-May FY25 were less than 10% of the outstanding balance.

Exhibit E: Inventory - Ageing and Provisioning (31 Mar FY25)

Inventory bucket	Gross value	Provision % applied	Net value	Comment
Fast-moving (0-90 days)	55	0%	55	Normal movement.
Slow-moving (91-180 days)	22	5%	21	Provision reduced vs FY24 policy.
Non-moving (181-365 days)	14	10%	13	Policy exception approved for select SKUs.
Obsolete (365+ days)	7	15%	6	Assumption: usable in new product mix.
Total	98	-	95	Net inventory presented in balance sheet.

Note: FY24 inventory provisioning policy for non-moving and obsolete categories was higher than FY25.

Exhibit F: PPE Movement and Asset Optimization (FY25 Extract)

PPE movement	Amount
Opening PPE (FY24 closing)	420
Additions during FY25	18
Disposals / sale of assets	-210
Reclassification to 'assets held for sale' (year-end)	-25
Closing PPE (FY25 closing)	210

Extract from internal note: A production line was sold to a strategic partner with an agreement to continue using the line under a service arrangement.

Exhibit G: Investments (Unquoted) - Schedule (FY25 Extract)

Instrument	Cost / carrying value	Valuation basis	FY25 P&L impact (included in Other Income)
Astra FinServe Pvt Ltd (Series A)	90	DCF (management inputs)	35
Orion Commodities Pvt Ltd (equity)	50	Comparable multiples	20
Other unquoted holdings	20	Cost with impairment review	0
Total (Investments)	160	-	55

Note: The investment valuation inputs were reviewed internally; no external valuation report is included in the pack.

Exhibit H: Borrowings and Supplier Financing (FY25 Extract)

Item	FY24	FY25	Notes
Term loans	180	300	New term loan sanctioned in Mar FY25.
Working capital limits utilized	180	85	Lower utilization due to 'efficiency improvements'.
Supplier financing program (offered by bank)	0	Active	Invoices may be settled by financier; company repays later.

Exhibit I: Cash Flow Bridge (FY25 - simplified)

Bridge item	Impact
Reported PAT (FY25)	320
Add: Depreciation	14
Less: Fair value gains included in other income (non-cash)	-55
Less: Gain on sale of assets included in other income (non-cash)	-45
Working capital: Increase in trade receivables	-250
Working capital: Decrease in inventory	112
Working capital: Decrease in trade payables	-68
Working capital: Decrease in other current liabilities	-115
Working capital: Increase in loans & advances	-40
Net cash from operating activities (approx.)	-127

Note: Cash increased during FY25 despite weak operating cash generation, driven by financing and one-off cash movements.

Exhibit J: Internal Emails (Leaked)***Mail 1:***

As part of the year-end closing process, we need to align on a few routine matters so that the financials reflect the current business situation accurately. Our product range and customer profile have changed compared to last year, so please confirm if the existing inventory ageing and provision approach still makes sense. Some assets that are no longer used regularly or are planned to be exited should be identified, so the accounting treatment can be updated accordingly. With newer and larger customers added this year, it is expected that some balances may remain outstanding at year-end due to longer internal processes on their side. Please share the relevant details and supporting explanations so we can close the books smoothly.

Thanks,
Suresh
Group Financial Controller

Mail 2 :

As we prepare information for discussions with external stakeholders in the coming period, it is important that our financial communication is clear and consistent. Certain income items that were earlier shown separately have now become more regular in nature and should be viewed along with overall business performance. Differences between execution of orders and receipt of cash are normal when dealing with larger customers and should be explained in that context. Actions taken this year to optimize assets and funding were planned and aimed at improving efficiency and returns. Let's ensure the numbers are presented in a way that clearly reflects the progress the business has made.

Regards,
Arjun
CEO

Additional thread :

From: Head - Sales Ops
To: Regional Managers
Subject: March closure discipline

Please ensure all enterprise POs scheduled for April are executed and invoiced by 31 March wherever the goods are already at the 3PL. If customers need flexibility on physical delivery, use the 'stored at 3PL' clause and share the exception memo for finance.

Exhibit K: Earnings Call Snippets (FY25)

- Management: 'Our margins expanded due to a richer mix and better procurement. Cash conversion will normalize as enterprise customers stabilize.'
- Analyst question: 'Receivables have spiked; are there any extended credit or return clauses?' Management: 'No unusual concessions; this is normal for large accounts.'
- Management: 'Asset optimization improved ROCE; the P&L benefited from efficiency actions and a sharper capital structure.'

Exhibit L: Anonymous Whistleblower Note (Received 10 Apr FY25)

The FY25 close was pushed to show a strong IPO story. A few large invoices were raised in March with side letters allowing return/price protection. A plant line was 'sold' but continues to be used. The investment valuation was aggressively marked up. Please look at the March dispatch cut-off, 3PL confirmations, and who approved the valuation assumptions.

7. The Ask

1. List the accounting manipulations you believe occurred. For each, cite at least two pieces of evidence from the exhibits.
2. Quantify the impact: build a normalized FY25 P&L (operating profit and PAT) and a clean balance sheet view.
3. Identify the most likely perpetrator(s). Explain the control point they influenced (revenue cut-off, provisioning, valuation, disclosure).
4. Highlight violations of accounting principles and disclosure gaps that an investor or auditor would challenge.
5. Create an investor-facing recommendation and a list of follow-up diligence questions.

8. Submission Format

- Deck: PDF, 2-3 slides, include an appendix slide for calculations summary.
- Investor memo: 1 page (A4), can be the first slide exported to PDF.